

The Perfect Stock, What a Deal!

Getting the story on a company is a lot easier if you understand the basic business. That's why I'd rather invest in panty hose than in communications satellites, or in motel chains than in fiber optics. The simpler it is, the better I like it. When somebody says, "Any idiot could run this joint," that's a plus as far as I'm concerned, because sooner or later any idiot probably is going to be running it.

If it's a choice between owning stock in a fine company with excellent management in a highly competitive and complex industry, or a humdrum company with mediocre management in a simpleminded industry with no competition, I'd take the latter. For one thing, it's easier to follow. During a lifetime of eating donuts or buying tires, I've developed a feel for the product line that I'll never have with laser beams or microprocessors.

"Any idiot can run this business" is one characteristic of the perfect company, the kind of stock I dream about. You never find the perfect company, but if you can imagine it, then you'll know how to recognize favorable attributes, the most important thirteen of which are as follows:

(1) IT SOUNDS DULL—OR, EVEN BETTER, RIDICULOUS

The perfect stock would be attached to the perfect company, and the perfect company has to be engaged in a perfectly simple business, and the perfectly simple business ought to have a perfectly boring name. The more boring it is, the better. Automatic Data Processing is a good start.

But Automatic Data Processing isn't as boring as Bob Evans Farms. What could be duller than a stock named Bob Evans? It puts you to sleep just thinking about it, which is one reason it's been such a great prospect. But even Bob Evans Farms won't win the prize for the best name you could give to a stock, and neither will Shoney's or Crown, Cork, and Seal. None of these has a chance against Pep Boys—Manny, Moe, and Jack.

Pep Boys—Manny, Moe, and Jack is the most promising name I've ever heard. It's better than dull, it's ridiculous. Who wants to put money into a company that sounds like the Three Stooges? What Wall Street analyst or